ARMENIA

The Yerevan Housing Market

Prices, Rents, Short-Term Rentals, and the Neighborhood Map

Working draft, September 2026

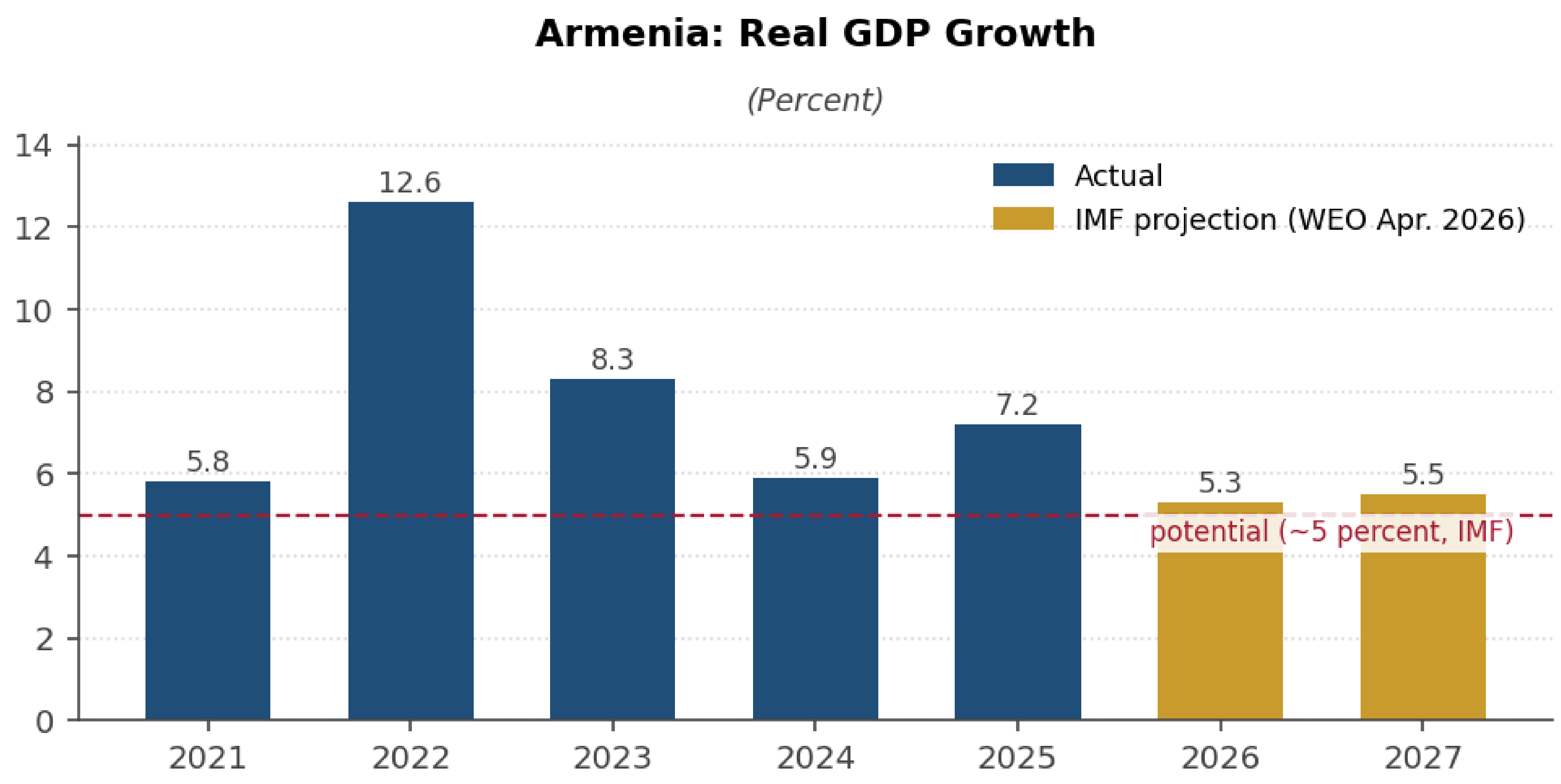
1. A policy- and migration-fueled boom, now past its peak

- House prices rose about 11 percent per year in 2022 to 2024 (IMF), far more in U.S. dollar terms: the dram strengthened from 480 to about 365 per dollar.
- Three demand shocks: about 110,000 Russians relocated in 2022 (60,000 to 65,000 stayed, mostly Yerevan); 100,000+ Nagorno-Karabakh refugees from late 2023; foreign and diaspora buying at a 3-year high (2,014 purchases in 2025, +27 percent).
- One large subsidy underneath: the mortgage income-tax refund program, costing 0.7 percent of GDP in 2024, expired in Yerevan on January 1, 2025.
- 2025: Yerevan apartment prices flat (+0.3 percent), center down 1 to 2 percent, while regions rose 16 percent and houses 17 to 27 percent.
- Q2 2026: growth resumed, 1 to 1.5 percent per month (Central Bank of Armenia).

2. Macro backdrop: consensus growth of 5.3 to 5.7 percent for 2026-27

- Real GDP: +12.6 percent (2022), +8.3 (2023), +5.9 (2024), +7.2 (2025); H1 2026 activity +7.7 percent.
- Projections converge: IMF 5.3/5.5, World Bank 5.3/5.1, EBRD 5.5/5.5, ADB 5.5/5.7, government 5.4; IMF potential-growth estimate raised from 4.5 to about 5 percent.
- Inflation back at 4 to 5 percent against a 3 percent target; policy rate on hold at 6.50 percent; dram mortgage rates near 12.5 percent, cash buyers advantaged.
- External soft spot: current account deficit near 6 to 7 percent of GDP; FDI at a historic low; but record reserves (US$5.7 to 6.9 billion) and a firm dram.
- Fiscal solid: deficits under 4 percent of GDP, debt near 50 percent, defense cut 15 percent post-peace; Fitch, Moody's, and S&P all on Positive outlook (mid-2026).
- Key risk overlap: Russia is about two-fifths of trade and tourists, two-thirds of transfers. Macro risk and housing risk are the same bet.

Figure 1. Armenia real GDP growth, actual and projected



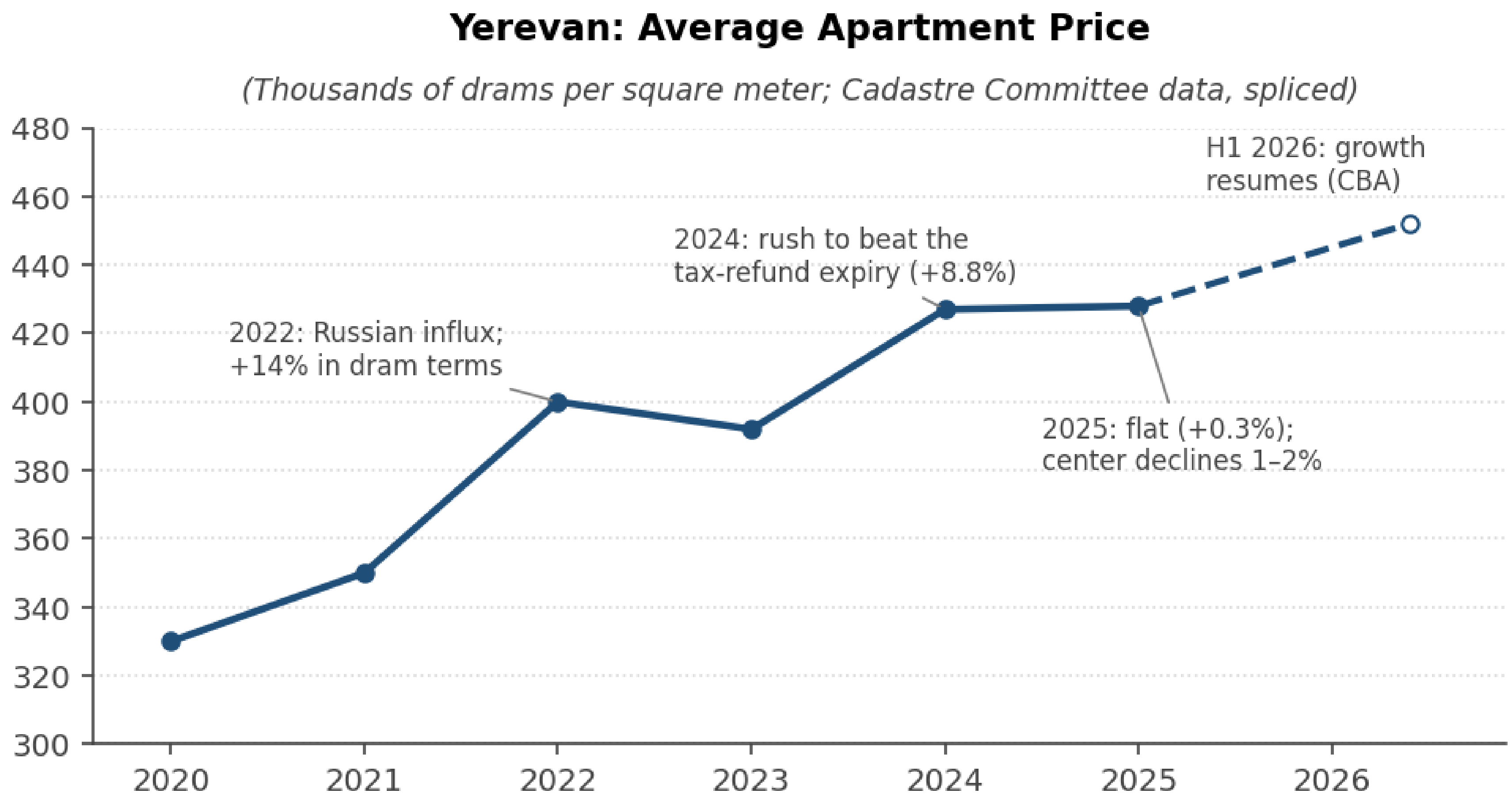
Real GDP growth, 2021 to 2027, with IMF projections and estimated potential.

Sources: Armstat; IMF World Economic Outlook (April 2026); staff calculations.

3. Prices: a decade of quiet, then boom, pause, and re-acceleration

- Cadastre Yerevan average: AMD 268,000 per sq m (2013); 330,000 to 350,000 (2020-21); +14 percent in 2022; AMD 426,800 (+8.8 percent) in 2024; flat in 2025.
- The 2024 surge was a policy artifact: buyers rushed to lock in the expiring tax credit. Yerevan transactions +32 percent, mortgage growth peaked at 37 percent.
- July 2025: first year-on-year price decline in 50 months (IMF). 2025 transactions still a record: 59,748 purchase-sales nationwide.
- June 2026 levels: Kentron about US$2,500 per sq m (secondary), Arabkir US$1,830, mid-ring US$1,200 to 1,450, Nubarashen US$700.
- New-build asking materially higher: Kentron minimum-asking average AMD 1,293,000 (about US$3,360); elite projects quote US$5,000 to 10,000.
- Valuation estimates: IMF 8 to 25 percent overvalued (2023); CBA 16 to 25 percent above fundamentals (2022-23). Neither has been worked off.

Figure 2. Yerevan average apartment price



Average apartment price, thousands of drams per square meter, 2020 to 2026.

Sources: State Real Estate Cadastre Committee via press republications; Central Bank of Armenia.

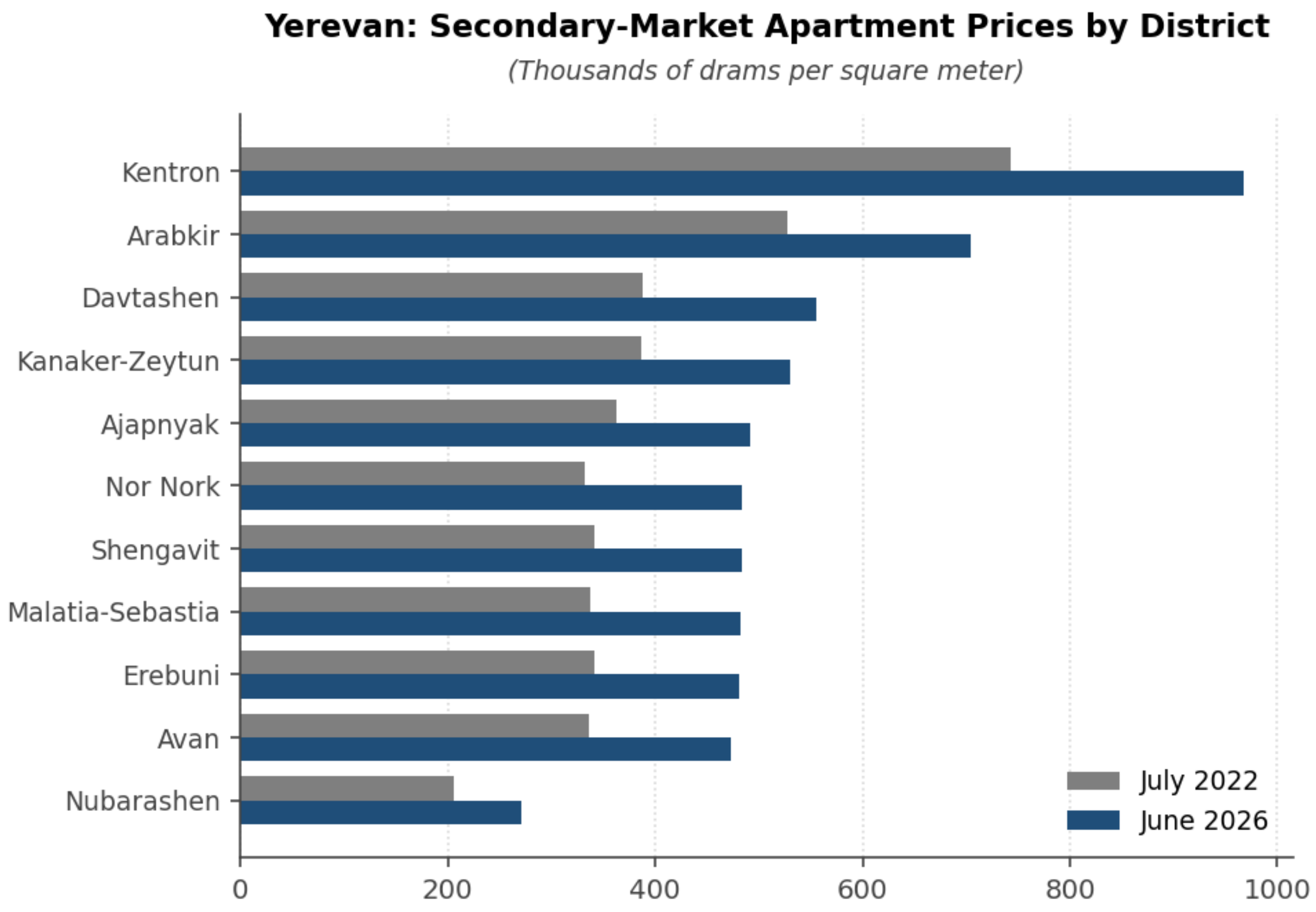
4. The tax-refund program: the boom's policy engine, now unwinding

- Since 2015: salary income tax refundable against mortgage interest on new-build purchases from developers; cumulative refunds AMD 299 billion to 70,000+ beneficiaries.
- Phase-out by geography: central Yerevan 2022-23, all Yerevan from January 1, 2025; four regions ringing the capital lose it January 1, 2027; nationwide end 2029.
- Footprints in every series: the 2024 rush, the 2025 Yerevan stall, mortgage growth 37 to 13 percent, the 16 percent regional price surge.
- Construction pipeline collapsed in Kentron and Arabkir after eligibility ended there: a medium-term scarcity argument for quality central stock.
- Watch late 2026: possible anticipatory buying in the four regions before the 2027 cutoff (Grant Thornton).

5. The neighborhood map: a stable hierarchy, moving at the edges

- Hierarchy stable for a decade: Kentron at 2.1 to 2.3 times the city average, Arabkir 1.5x, Nubarashen 0.55x.
- Kentron: liquidity, prestige, short-term-rental demand; only district with 2025 price declines; elite US$3,000+ segment carries absorption risk.
- Arabkir and satellites (Kanaker-Zeytun, Davtashen): best reported yields, 8 to 10 percent gross; steadier local demand.
- Momentum in the mid-ring: Ajapnyak +13.7 percent in 2025; Shengavit's Arshakunyats corridor has the widest new-build vs. secondary gap outside Kentron.
- Demand sweet spot: 50 to 75 sq m units in new or renovated buildings.
- Screening criterion, not a detail: 45 percent of Yerevan buildings rated highly earthquake-susceptible; about 5 percent retrofitted.

Figure 3. District prices, July 2022 vs. June 2026



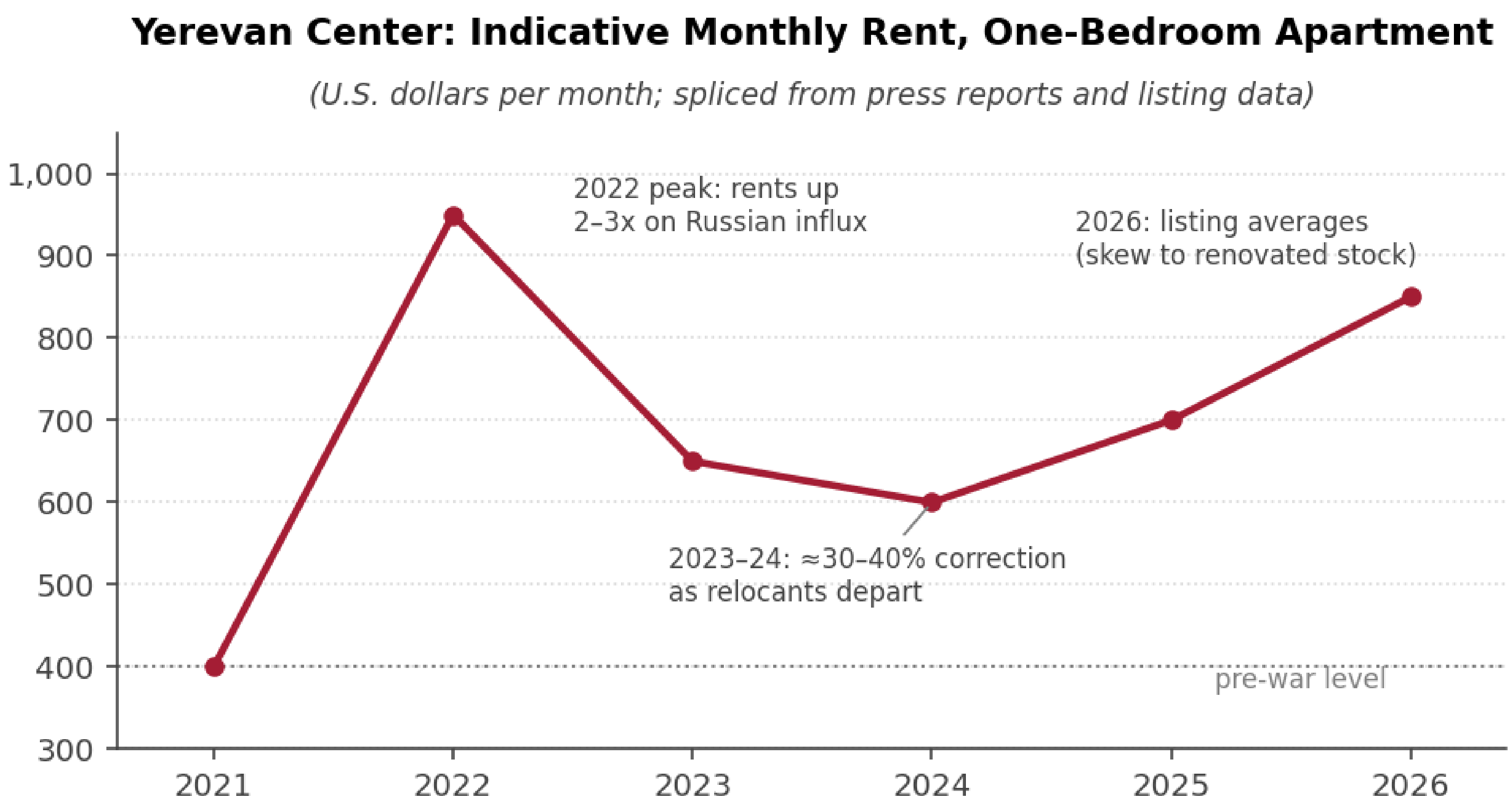
Secondary-market apartment prices by district, thousands of drams per square meter.

Sources: official statistics via news.am (2022) and b24.am (2026).

6. Rents: spike, correction, settled well above pre-war

- 2022: rents doubled to tripled within months of the Russian influx; central 2-3 room units went from AMD 140,000 to 180,000 to peaks of 400,000 to 500,000.
- 2023-24: roughly 30 to 40 percent correction as relocants departed; Karabakh refugees offset at far lower purchasing power.
- Now: central one-bedroom US$550 to 850; most-demanded bracket US$300 to 500; tenant shortage in the US$1,000+ premium tier; rental transactions -28.6 percent in 2025.
- Rents settled 50 to 80 percent above pre-war; realtors' consensus is they will not return to 2021 levels.
- Gross yields: 5.5 to 7 percent in the center, 7 to 10 percent in Arabkir and the mid-ring; net about 1.5 to 2 points lower.
- CBA governor: price-to-rent ratio rising, investment attractiveness declining.

Figure 4. Central Yerevan one-bedroom rent



Indicative monthly rent, U.S. dollars, 2021 to 2026.

Sources: CivilNet; JAMnews; Mirror-Spectator; Numbeo; staff splicing.

7. Short-term rentals: workable economics, compounding supply

- Market size: 2,400 to 6,000 active listings depending on provider definitions; supply growing 14 to 34 percent per year; only 0.2 percent professionally managed.
- Economics: ADR US$60 to 76; realistic occupancy 50 to 65 percent; a well-run central one-bedroom grosses US$10,000 to 15,000 per year.
- Thin premium over long-term letting once cleaning, fees, management, and voids are deducted; real mainly for Kentron units in the May to September window.
- Demand has plateaued: tourist arrivals flat at 2.2 to 2.4 million since 2023, Russian share falling; supply growth exceeds demand growth.
- Tax and regulation light: flat 10 percent on gross rent either mode; no STR permit; the 2026 notification system exempts individuals letting one apartment.

8. What the specialists say

- IMF: overvaluation 8 to 25 percent (2023); market "now cooling" (Dec 2025); subsidy phase-out credited with the cool-down.
- CBA: the most cautious voice; 2024 completions doubled, excess-supply and credit-loss warnings; construction credit +30 percent for two years running.
- ADB (2025): prices +100 percent since 2014; bottom three income deciles priced out; market "may be approaching the peak of its cycle."
- Local consensus: soft landing; 3 to 7 percent annual growth in prime areas for 2026-27; the skeptics (Luys, Mikaelian, Parsyan) worry about credit, not a crash.
- Nobody credible calls Yerevan cheap; nobody credible forecasts a bust.

9. Outlook and risks

- Base case 2026-27: low-single-digit growth in Yerevan apartments (3 to 7 percent in prime areas), continued outperformance of houses and regions.
- Dominant downside: durability of Russia-linked flows. Non-resident deposits 7.2 percent of GDP; IMF adverse scenario (remittances -45 percent) cuts growth to 3 percent.
- Supply risk: completions doubled in 2024; absorption risk concentrated in the elite new-build segment.
- Currency: the dram flattered every recent dollar return; depreciation would cut dollar values even with stable dram prices.
- Upside: August 2025 peace treaty and TRIPP corridor, possible Turkiye border opening, EU-accession process, tourism diversification.

10. Considerations for a purchase

- Timing: defensible entry; the blow-off is behind the market and central prices are 1 to 2 percent off peak, but the flat window is closing as growth resumes.
- Two favored configurations: quality Kentron secondary stock, 50 to 75 sq m (liquidity, capital preservation, STR option), or Arabkir and the strong mid-ring for income.
- Avoid the elite US$3,000+ new-build segment: absorption risk, thinnest secondary market.
- Income math: expect 4.5 to 6 percent net yield either rental mode; total return roughly 8 to 12 percent in dram terms; the exchange rate decides the dollar outcome.
- Mechanics: foreigners own apartments freely; cash purchase is the default (mortgages at 12.5 percent); rent taxed at a flat 10 percent.
- The residency binary: investment-residence rules due around November 1, 2026; whether residential property qualifies is open. Sequencing the purchase after that decision costs little and may be worth a great deal.